

Michigan Financing Legislation

Michigan State Housing Development Authority Act

The act established the Michigan State Housing Development Authority and defined the authority's duties and responsibilities. The housing development authority focuses on housing issues and needs for low- and moderate-income individuals and families. Their duties include, but aren't limited to:

- Encouraging housing projects to be initiated in communities and the preservation of existing low to moderate income housing
- Making or purchasing loans
- Setting standards for housing projects that receive loans under this act
- Leasing properties and participating in federal housing assistance programs
- Reviewing and approving rental charges for authority-financed housing
- Establishing restrictions on loan documents for authority-related housing

The authority issues tax-exempt bonds and notes and uses those proceeds to make or purchase loans for low- to moderate- income families or persons and to perform other authority duties. Loans are made to those who qualify at below market rates and can be used by developers of rental housing and purchasers of residential dwellings. The loans can also be used to rehab existing homes, but not for refinancing existing mortgages.

Michigan Usury Act

Michigan usury laws **limit the maximum interest rate** lenders may charge up to 5%, or 7% with a written agreement. The act allows only for reasonable and necessary charges in addition to the interest rate. Any lender charging more than the allowable rate is barred from recovering any interest, official fees, delinquency or collection charges, attorney fees, or court costs associated with such an agreement.